Bulls vs. Bears: Who’s Right About This Market?

Podcast: prof G markets

AI Executive Summary

1. **Core Thesis:** The episode posits that current global financial markets, characterized by record highs driven by AI hype and tech stock valuations (e.g., S&P 500), are entering a fragile "Crazy Town" phase where underlying profitability and capital efficiency lag behind revenue expectations. The core argument is that while societal advancements from technology remain valuable regardless of market performance, the financial sustainability of key sectors—specifically AI hyperscalers and space tech—is currently compromised by massive, unproven capital expenditures (CapEx) burning through cash reserves without generating adequate ROI. This analysis emphasizes the need for rational valuation scrutiny over public narrative pressure to maintain "trust" or support specific company ecosystems, suggesting that market fragility may soon force a necessary correction in investor sentiment and asset allocation strategies.

2. **Key Arguments & Data:**

3. **S&P 500 Valuation Risk:** The index hit record highs twice within one week (June/July), yet fundamental metrics suggest overvaluation. While earnings growth is strong at approximately 27%, roughly half of this comes from markups rather than sustainable revenue growth in core sectors like AI hyperscalers and Amazon/Microsoft stakes alone drive nearly half of S&P earnings.
4. **AI Sustainability & ROI:** To achieve a reasonable rate of return on current capital expenditures by Big Tech/Corporate Hyperscalers, the market must generate approximately $2.5 trillion in *additional* revenue (currently only ~$150 billion is realized from AI). This would require AI to grow 15x beyond its present cumulative revenue—a threshold considered unlikely by bears but defended by bulls as a light-switch moment for mainstream adoption.
5. **Hyperscaler Financials:** Data reveals OpenAI generated $21 billion in losses last year, with estimates suggesting Anthropic burned around $10–$12 billion annually despite "bullish" claims of generating free cash flow; both rely heavily on massive data center builds (e.g.,

Microsoft spending ~75% AI CapEx) which are unsustainable without profitable front-end demand creation.

6. **SpaceX & Valuation Dynamics:** SpaceX stock is trading roughly 52% down from its all-time high despite a +92% revenue surge and strong Starlink subscriber growth; the market views this as a failed "meme" play with an asymmetric downside risk, particularly given CapEx increased to $18.5 billion quarterly (compared to ~$6B previous quarter) while IPO proceeds of $86 billion may be exhausted within 16 months.
7. **Market Sentiment & Metrics:** The market is described as "frothy" relative to the Buffett Index and GDP growth; Microsoft trades at 27x PE vs pre-AI multiples, Google/Amazon are viewed as overvalued on metrics that do not account for AI dependency anxiety; investors acknowledge this risk but often refuse to act until a crisis occurs.

8. **Personal & Institutional Reflection:** A recurring theme across hosts and guests is the importance of "kernel truth" in public discourse—whether admitting financial mistakes (like Ed Elson's personal anecdote on apologies or Michael Burry-style market corrections) rather than defending narratives that protect reputation over reality ("The Elon premium").

9. **Actionable Takeaways:**

10. **Reduce Leverage & Diversify:** Investors should not be "out over their skis" regarding leverage due to the high probability of a dramatic correction within 12–24 months if AI valuations collapse; prioritize diversification and lowering exposure to speculative, cash-burning growth stocks.
11. **Lock In Profits on Speculative Positions:** With companies like SpaceX trading at multiples that historically do not justify revenue-based valuation (e.g., multiple of the sector), investors are advised to realize gains rather than holding "meme stock" positions driven by public narrative over fundamental earnings quality.
12. **Shift Focus from P&L CapEx Ratios:** When evaluating high-growth tech companies, prioritize capital efficiency and free cash flow stability over top-line growth or speculative revenue projections;

assess whether the company is burning its own IPO funds without a sustainable path to profitability (e.g., SpaceX's $86B runway vs burn rate).

13. **Maintain Rational Market Dialogue:** Adopt a mindset that prioritizes accurate valuation analysis ("What we're trying to do here" regarding understanding fair value) over protecting one's social standing or aligning with VC portfolio narratives, regardless of whether being "wrong" causes short-term discomfort.

Full Transcript

I'm Seth Matlin, and this week on my podcast, Creator Destroy, which is a business show, a marketing show, and a show that argues they've always been the same thing. I sit down with JP Morgan Chase CMO, Carla Hassan, to talk about how she builds trust in 84 million customers when, amongst other things, her product is in many ways intangible. Turns out it requires real human connection of physical branches, enterprise-wide alignment, and the discipline to admit when you've broken it. Check out Creator Destroy Reimagining Marketing on YouTube and your favorite podcast app. Summer vacation has gotten very expensive. Flights, hotels, food, why bother? And so a lot of people, I think just this summer, are kind of looking around and saying like, well, I want to go on vacation, but also, is this going to be a really expensive disaster? This week on Explain It To Me, how to make the most of that precious PTO.

New episodes, Sundays, wherever you get your podcasts. Hi, it's Cara Swisher. You know me as co-host of Pivot. But for August, I'm flying solo. And I've lined up some incredible guest hosts to join me. Mark Cuban, Chelsea Handler, Caitlin Collins, and a lot more you won't want to miss. Already out, my conversation with Hillary Clinton. Among many other things, we get into redistricting fights, reshaping state politics, and what Trump's golden makeover of the presidency actually means. And it's not good. Trust me, you don't want to skip this one. Find Pivot on YouTube or wherever you listen to podcasts. Today's number, 250 million. That's how much Bank of America spends on GLP-1s for its employees per year. Ed, it's really strange. Why do you think I only get sick on weekdays? Why is that? Well, that was enthusiastic. Try again, bitch. Why, Scott? I was thinking. I was pondering the question. You're a terrible straight man.

This is why my comedy is not resonating. Let's start this again. Why do I only get sick during weekdays? This is unbelievable. How can I play this game? Why? Because I have a weekend immune system. How are you, Ed? You're at home. I'm at home. The studio is broken. There is no Wi-Fi working at the Vox Media Studio, which is kind of insane to me. So I'm recording from home. I kind of feel like it's COVID again, zooming into

this, but that's okay. So Ed, I know you well enough, and also I have a very strong intuitive sense for young men. Something's on your mind. You're distracted this morning. Are you upset about something? Is something on your mind? Are you overwhelmed with gratitude for this exceptional professional opportunity you have? What is running through your head right now? What's up with Ed Elson? You seem down or distracted. I'm distracted by a work-related event, but I shouldn't disclose it on this podcast right now, so I can talk to you about it.

Otherwise. Is it a bad thing or a good thing? No, it's kind of a bad thing. I mean, it's not a big deal. It's just one of the guys that we had on the show, we did a clip that used some of his data that didn't give him the attribution. When that's happened, and I've been on the other side of that, I'll hear someone literally parrot something I've said. And I think, wow, wouldn't it be nice to just occasionally reference my work when you're literally parroting what I've said. And the best response is, And I've gotten this response and sometimes I haven't. And also I've been on the other side of that where people said, you cited my data, please reference it. It's that I think the best response is you're right. We have a lot of respect for your work. We do boost signal boost your work a lot, including having you on the show, which it sounds like we did. And I don't know who we're referring to, but we'll correct the record and be more careful moving forward. I hope you accept our apology and our commitment to doing better. That's exactly what I did. I mean, yeah.

Exactly. See, I only get nervous if I actually think that I'm in the wrong, and in this case, I do think I'm in the wrong. That's great self-realization. And just to go, I just interviewed a psychotherapist, so I think I know everything about psychotherapy right now. But the shit that hurts where you get really upset or something online fucks with your mental health, it's when there's a kernel of truth in it. Yes. When it's like, I did fuck up or and this happens to me a lot because I say a lot of stupid shit. I go back and I get attacked and I think, okay, the stupid shit and jealousy or bots are weirdos fine. It's when there's a kernel of truth and you're like, yeah, I did get that wrong. Exactly. So what do you do about that? I think with actual people who take the time to reach out to you.

And I did not have the self-awareness when I was your age. I used to rear up and get back in their face and think it was about winning the argument. And then what you realize as you get older is that it's not winning the argument, it's maintaining the relationship and saying, I understand why you're upset, I fucked up here. And to be fair, we love your data and we do signal boost it a lot, which it sounds like we do here. But something fell through the cracks here. I apologize. I'm happy to correct the right. It's like relationships. When someone's upset, my, when I was your age in a relationship and someone would get upset with me, I had a tendency to try and get back on their face and prove them wrong. And then what you realize as you get older is, if someone's upset and you value the relationship, just acknowledging that they're upset and that likely because you trust them and they're smart, there's a real reason why they're upset and a valid reason.

to move to a sincere apology and then move to what you're gonna do to try and fix it in the future. I did not have that self-awareness when I was your age. But anyways, I'm gonna charge you 300 and tell you that we have five minutes left and kick you out of my office now. I think that was a great session, Ed. I thought it was good. I think I learned a lot. Yeah, it's true. I mean, there's something about... just the acknowledgement that is weirdly important that you don't really realize until later on. It's not so much saying sorry, but that is important to people, but voicing exactly what is bothering them and saying it out loud. I acknowledge that this is exactly what happened. It's surprising how important that is in relationships and in conflicts. You can't just be like, I'm sorry, like, it's kind of not, now you need to acknowledge fully. Well, in trying to avoid the non-apology apology, I'm sorry if you're upset. No, no, no. Yeah, exactly. We were wrong. We fucked up. I apologize. And this is what we're going to do to make sure it doesn't happen again and try and correct the situation. And then if they don't accept that, call them a snowflake and a bitch and move on.

Should we get to today's news Ed? Should we get to today's business news? Let's get into it. Last week, the S&P 500 hit fresh record highs twice. On Tuesday, the index climbed nearly 2% to its first record close since June. On the following day, it notched another intraday all-time high. The rally

has led some investors to believe the worst of the AI-driven sell-off is behind us. But not everyone is convinced. Michael Burry recently warned that it is possible we are near a major top. adding that the market could be setting up for a quote, nineteen eighty seven type four. So, Scott, what we wanted to do in this segment. is sort of layout the bull cases and the bear cases because it seems that these two factions are extremely at odds with one another right now. We are hitting record highs and yet at the same time there is a huge amount of anxiety about AI and about the sustainability of this business about all of the debt which we'll get into and of course we cover a lot of it on our show. But I wanted to start with the bull case. And we've gathered a few clips here from some famous investing bulls that kind of lay out why the S&P hit a record last week and why investors feel optimistic about AI. So I'm going to start with a clip from Gavin Baker. He is the CIO of Atreides Management. This is Gavin Baker and why he's still optimistic about AI. I look at what's happening in the stock market and I feel like a foolish optimist. And then when I talk to people, whether it's people at the labs, whether anyone in this ecosystem, like I'm like bearish relative to essentially everyone. This is Alex Sassadot, who's the head of Whale Rock Capital Management. This is on the same podcast, Invest Like the Best. And here he explains how adoption of AI is only at the beginning and therefore it's probably going to grow significantly more. You know, 200 or I don't know how many set 800 million people are using AI. They're just using AI one point out, which is like it.

a search engine on steroids, but now with these new primitives where you have caught on your computer linking it in and then they're going to build true AI bots and then big corporations are going to build much larger. But where are we in terms of the amount of people doing that? I mean, Sunder said it's 10 bits of the knowledge workers of the world. Anthropic has something like 14 or 15 million DAUs. Probably a small portion of those are truly doing AI the way you can do it. So that 10 bits, it's classic S-curve where these are the tinkers and then it's going to go to the early adopters, then it's going to go to the early mainstream, but you're going to go from 10 bits to 1 to 2 or 3 percent to 5 percent to 15 percent in the next four years and kind of a light switch.

this year went off in the enterprise where everybody realizes they need to do this now. And then finally, this is our friend, Josh Brown, on his podcast explaining why he is still very bullish in this market and why he believes this is a healthy bull market. If you gave me a legal pad and said, fill the first page, yellow, yellow pad, fill the first page with every characteristic you would want for a market rally. in order to feel confident to stay long. Like write down all the things. Here's what I would write down, okay? Earnings beats in every sector. I think we have 10 out of 11 companies are on average beating or something like that. So check. Rotations. Leadership stocks getting killed and other stocks becoming new leadership. Defensive rallying with cyclical. Growth rallying with value.

large cap rallying with small cap, revenue growth ahead of expectation, not just games with earnings or buybacks, but like actual sales growth ahead of what's being expected. Analysts raising their expectations for next quarter during this quarter across the entire S&P 500, which is what's going on. International stock support, lots of IPOs, but not too many IPOs. Like every single thing that I would write down on the pad to say, healthy market, we have all of it. That's the bull case right there. We'll get into it, but your first reactions. I think the economic incentives of someone in the job I do is to catastrophize more than is actually warranted. So you just played Josh's comments. I love what Josh says, and that is you always have to ask yourself what could go right. The problem isn't...

The problem I think we're facing, and I think what people have to be cognizant of is the market is now six stocks and Alphabet and Amazon alone drove nearly half of S&P earnings growth. It feels like the metrics are overstating the positive case, if you will. And I like, to me, I think the data around the fact that things are overvalued. or the bear case, if you will, the one piece of data that I just think is very hard to argue with is that if so much of the market is concentrated on the well-being of the prospects of AI and the investments in these hyperscalers, we need, if you look at the CAPEX, to get a reasonable rate of return on the current CAPEX by the hyperscalers, we're going to need to recognize or create 2.5 trillion in incremental revenue from AI. Right now, The cumulative revenue being produced by AI is 150 billion. So we need it to 15X just to get to a sustainable or justifiable ROI on the current CapEx. I think that is unlikely.

And by the way, that 2.5 trillion number just to put it in context is greater than all of the revenue of Big Tech right now. So to get...

a market level ROI on the current CapEx, we need to double the current revenues being registered from Big Tech. That's not to say the market, I think the market will be up from where it is in 10 years. I think AI is going to prove to be a fundamental technology. I think there's going to be a lot of winners, but similar to the internet in 99 or the railroads or whatever you want to call it, you know, the railroads proved to be tremendous, create tons of shareholder and stakeholder value over the next century. But that didn't mean it didn't bankrupt a bunch of railroad shareholders along the way. So when I look at all the traditional metrics, I just think there's more asymmetry to the downside than to the upside. But let me do my land acknowledgement here in terms of, okay, what does that mean, Scott? What do we do? I'm not suggesting you sell right now. My attitude is always be in the market. What I do think people need to be mindful of though, is based on historical norms and trends, and ratios that do have value, whether it's the Buffett index, looking at the total valuation of the market relative to GDP, whether it's Kay Schiller, whatever it is, whether it's PE, whatever you want to call it. Things look very frothy right now. So what do you do? I believe it's never been more important to think about diversification and also perhaps contemplating lowering your leverage.

Because if there is, if we are, if you believe as I do, that we are susceptible to a pretty dramatic correction in the next 24 months, you don't want to be out over your skis and put yourself in a position where you might be a four-seller because of leverage. I think that's exactly right. I mean, just to go to the bull case again, I think a lot of people I try to understand why exactly did the markets rally? Why did we hit this all-time high in the S&P? And there are a few things in there. One that we should just acknowledge is just optimism related to Iran because Scott Besant said on Tuesday that the US and Iran would reach a deal. He said they would reach one, quote, today or tomorrow, i.e. Tuesday or Wednesday, didn't happen as this continues to go on. They keep on saying things and then the thing doesn't materialize. But we're just going to sweep Iran to the side for a moment and focus on the thing that really matters in terms of growth prospects and that is AI. What the bulls would say is that earnings growth is really strong right now, even

if you remove the markups in Amazon and Google's stakes in those AI companies which exploded their earnings as we discussed in the previous quarter. If you take that out, The S&P is growing really strong on an earnings basis, 27% earnings growth. The other thing that Josh talks about, his view is that he says like the trash has been taken out, i.e. there was the collapse of the Cosby, there was the situational awareness collapse. That's all kind of happened. And so maybe we've sort of flushed out some of these crazy speculative bets out of the system, maybe. And then, of course, just that AI demand is still growing. The GPU prices keep going up. The compute deals keep getting signed. The revenues of every AI company continue to grow practically exponentially. And that's all true. But to your point, it doesn't answer the fundamental question that I'm still thinking about, which is, where is the ROI?

on the end product of AI. Where is the ROI that should be reflected in open AI's business or Anthropics business? Because you look at the earnings growth today, it is entirely dependent on this data center build out. I mean, Goldman Sachs has data, AI investment is expected to drive nearly half of S&P earnings growth this year. We could do the analysis and try to figure out what exactly the number is right now, but I think that sounds about right. Especially when you consider how much money these big tech companies are plowing into the data centers, it's coming out to like 750 billion this year. And then you have to ask yourself, okay, how long is that going to last? And why is that happening? Why are they spending all of this money?

And I think the most important number that we learned last week came from Bloomberg, which showed that OpenAI made up 70% of Microsoft's AI sales last year. So the whole system relies on OpenAI and Anthropic, two companies which have been proven based on the leaked financials we've gotten to be incredibly unprofitable companies that are burning tens of billions of dollars a year. So I just don't I don't see how this is sustainable at this point And I want people I want investors in the bulls to be answering that question. Frankly, I don't care how much the semiconductor stocks earnings have gone up. I know they're going up. I know that they're selling chips to big tech, obviously, because the big tech companies are building the data centers. My question is, how long is this data center bill that going

to last? And is it actually going to be sustainable? Because if you're relying on all of your AI business on one company, then what are we doing here? What happens if open AI implodes tomorrow? What happens if they can't get enough money from the...

raise enough money from investors. What if they can't raise enough money from the debt markets? I mean, at some point, they need to get profitable. Otherwise, the whole thing does collapse. And so that's what I would say to the bulls right now. Like, why don't you answer that question? Because that's the most important one right now. The thing you've been talking about a lot on property markets, which really resonates with me, and I also appreciate that you're one of the... One of the many things I like and respect about you is you're not afraid to go, you know, you're not afraid to be a contrarian and you go where you think the truth in your own gut is taking you regardless of what the kind of narrative is. And the narrative is that these AI valuations are everything. And if you don't, and these 5x revenue compounders will continue to compound. And then if you don't say that and support Deceptic Tank that is the majority of VC's portfolio right now, it's a crime against humanity and you're morally deficient. And there is literally a fairly thin string, a piece of yarn, I would argue, that if pulled on will bring down the S&P, which will push us into a recession and push the West into a recession. And it's the following. The American economy right now has become a giant bet on AI. What is it? 70% earnings growth, 92% of GDP growth coming from the CapEx, from these hyperscalers, and the most significant thing to happen, or the two most significant things to happen, are one, in the US, there used to be all of these sources of new incremental demand on the consumer side, you know, whether it was X getting into AI, because X AI was gonna have a much, whether it was meta that was gonna offer llama and different consumer AI applications. And then all of a sudden, they've all said, wait, We don't seem to be capable of building the front-end demand through our platforms, so we're gonna lease out our back-end to one of two companies, OpenAR Anthropics. So there's basically two sources of demand creation right now, and everyone else is pivoting to supply creation. So you have an economy which seems to be very dependent upon one sector, a small group of companies within that sector.

only two sources of demand creation and both of those companies are hemorrhaging money right now. So it just feels as if the market is incredibly fragile right now. And then the chaser effect or the other fear factor is again, what I think is one of the more dramatic numbers and then approximately 10% of token usage in January 2025 was from Chinese LLMs and now it's approaching two thirds. So the market is bifurcating. I still think the frontier models are German automobile companies, higher margin. There's going to be a big market for them. People want debugging, safety, security. You look at Microsoft Copilot, which has doubled its number of seats. Most AI analysts say it's one of the shittiest applications, but there's something to having a big company debugging, compliance, security.

You know, all the good stuff that comes with Microsoft. Yeah, it's another little asset in the giant bundle that is Microsoft Office. Just plug and play and you know us and you can trust us, even if it's not a great product, it has a great warranty, right? But the fact that... the yellow lamps are coming in and doing to Silicon Valley what Tokyo did to Detroit over 20 years, but in this instance over 20 weeks, I don't think anyone's being very honest about what's gonna happen or the impact that will have. All of these numbers assume we're gonna dominate every aspect of the air market globally. I just don't think that's the case. So this is a concentration upon concentration upon concentration built on massive expectations, but also We have such a tendency to focus on the S&P. I think we're going to be winners from AI. I think you and I are going to be better off from AI in terms of productivity and new job opportunities, just as we're better off from vaccinations, jet transportation, the railroads, the electric grid. But along the way, through different cycles, all of those industries lost a shit ton of shareholder value.

I think we're at that point. Amazon went on to be an amazing company. It lost 93% of its value from 99 to 2001 because we were in a cycle where things, the froth translated to ridiculous valuations that could not be sustained by anyone, including Amazon. And I think we're sort of, the numbers would say we're at a similar point. We'll be right back after the break. And if you're enjoying the show so far, send it to a friend and please follow us on YouTube, Spotify, or wherever you get your podcasts. Support for the show comes from Zebiotics. After a night out on the town, your body just can't bounce back like it used to. It seems like you're forced to

choose between a great night or a great next day. Well, that can change with pre-alcohol. Zebiotics pre-alcohol probiotic drink is the world's first genetically engineered probiotic. It was invented by PhD scientists to tackle rough mornings after drinking. Here's how it works. When you drink,

Alcohol gets converted into a toxic byproduct in the gut. It's a buildup of this byproduct, not dehydrations to blame for rough days after drinking. Pre-alcohol produces an enzyme to break this byproduct down. Just remember to make pre-alcohol your first drink of the night, drink responsibly, and you'll feel your best tomorrow. With pre-alcohol, you don't need to choose between a fun evening and a great next day. especially when July is packed with barbecues, fireworks, lake weekends and late nights with friends. Keep the good times rolling into the next day. Drink pre-alcohol before you go out and wake up ready for whatever Sunday brings. Remember to head to zbiotics.com slash profg and use the code profg at checkout for 15% off.

Support for the show comes from Vanta. If you're running a company today, you know the trust is what closes deals. Your buyers want proof, you're secure. And increasingly, they won't sign until they see it. Here's what usually happens. A prospect asks for your SOC2 report and the deal stalls while you scramble. An engineer gets pulled off the road map to prep for an audit that's months away. Every enterprise conversation turns into a fire drill. That's where Vanta comes in.

Vanta is the market leading agentic trust platform that gets you combined fast with in-demand frameworks, including SOC2, ISO 27001, and HIPAA, and keeps you there. And now you can access the Vanta agent everywhere you work, whether your team is offering out of Vanta every day or working in other AI or SaaS tools, including Claude and Cursor. That's why Vanta is trusted by more than 16,000 companies, including Ramp, Harvey, and Ryder. Prove you're ready for business. Learn more at vanta.com slash markets. Support for the show comes from Upwork. If you're a seasoned business owner, you've definitely been in a position where you need to hire outside help. But here's the thing, hiring that help often creates totally new problems. Upwork exists to streamline that whole process. Upwork is a one-stop platform to find, hire, and pay expert freelancers. You get fast

access to specialized talent across more than 125 categories. On Upwork, you can browse profiles,

review past work and get help scoping the role so you can hire with confidence and get started quickly. You also don't need to let the operational tedium get in your way since Upwork handles things like contracts and payments. They also have Business Plus, which gives you access to the top 1% of talent on the platform. With AI-powered shortlisting, you'll get matched to the right freelancer in under six hours, no endless searching required. Visit Upwork.com slash Markets right now and post your job for free. That is Upwork.com slash Markets to connect with top talent ready to help your business grow spelled U-P-W-O-R-K dot com slash Markets Upwork.com slash Markets. We're back with ProfG Markets. The Blast Zone is very clearly those two companies, Open AI and Anthropic.

which are based on what we know losing money, but I should add like, we don't really know much at all. I mean, in OpenAI's case, Ed Zichron got his hands on the financials and he leaked them and we learned from those financials that OpenAI lost 21 billion last year. And, you know, we can make estimates and do analyses based on that as to what we think is going on over at Anthropic. But I want to play you one more clip from this Gavin Baker interview. on the invest like the best podcast. And I should just clarify, you know, I'd love to have Gavin Baker on the podcast. I think we have reached out to him and Gavin, if you're listening to this, we'd love to have you on and talk about this. But he said something that I think was really problematic in that episode. And he kind of just skipped over it. But I wanna play this to you really quickly and then break it down. Open AI has accelerated.

And Anthropic continues to grow really strongly and is almost certainly pumping out significant amounts of free cash flow. There is zero evidence that Anthropic has generated any free cash flows whatsoever. And they have even said by their own estimates that they don't expect to generate any free cash flows until 2028. And by the way, if they had generated any free cash flows, I can guarantee you we would be hearing about it because it would take the stock market. Why are they raising 36 billion from the debt markets on top of the other 35 billion they raised a couple of months ago from

Blackstone? You notice his language there. Almost certainly generating significant amounts of free cash flow. I don't know what he's thinking when he says that.

But you can't just say that. Because the reality is that jump that he makes there, just deciding that almost certainly it's happening, that is what the entire AI ecosystem is depending on right now. And to me, the fact that he says that tells me that there are some serious misunderstanding in the equity markets right now as to what is actually going on in AI. Because if there are a lot of other investors who, like him, are just randomly assuming that the Anthropic business model actually works, despite there being zero evidence to support that argument, then we have a serious mismatch in terms of investor expectations and the actual reality on the ground. And granted, we don't know because Anthropic won't tell us, but we did our own analysis of Anthropic's numbers. We did it based on what we saw with the open AI's financials and based on our estimates, Anthropic lost around 11 billion last year. And we would expect that number to continue to go up because of the massive amounts that they're spending on training and inference. So that to me is the problem. Why are we pretending like open AI and Anthropic, like those businesses are working? I mean, how are we making that jump? Because that's the real problem. Yeah, I think if he'd said, if these companies dramatically reduce their catbacks, they would get to cash flow positive pretty soon because if you look at the top line and the sector's growth, I think that's a defensible argument. Usually though, you have to have positive gross margins. And what I've been saying is that I just signed up for, I figure it was Cloud Pro or whatever, and it's 200 bucks a month or something. And I read somewhere that it's costing them 1,000 a month to service my 200 a month product. But yeah, look, I think I, I think if he'd said these companies could be cash flow positive if they decided to dramatically scale back their capex because they're growing so fast. I think that's maybe a defensible argument, but I don't see any evidence that these companies are producing anything resembling free cash flow right now. That's the whole point. That is the whole question in this bull market is can Open AI's business make money and can anthropics business make money. And you have the number one AI bull going on podcasts saying that they're already making money almost certainly quote unquote. And it's not true. And so I'm just like, what are we doing here? I have this deck or this talk I

do called the AI Optimus. We have such a tendency to look at everything to the lens of the success of America.

is the success of the SMP. It's such a damaging metric because it doesn't measure PSA, it doesn't measure obesity, it doesn't measure anxiety, it doesn't measure, you know, general sense of purpose among young people. And I believe AI is going to be a net positive for society. We're going to be, I think it's going to increase productivity. We're going to come up with new ideas, new medical treatments, faster cycle time for pharmaceuticals. I think it's going to be a net positive as long as we figure out the risks and the regulation to try and start the externalities. We've been able to control nuclear detonation for almost 80 years with regulation and leverage and harness, I believe, nuclear fission to the benefit of all mankind. And there's a real issue around whether regulation is keeping up with this technology. But the notion that everything comes down to whether these stocks are gonna continue to go up, okay.

Just because you don't think these stocks are going to get into you to go up doesn't mean that technology is a failure. It doesn't mean you're wrong. It turns into I have never received the type of pushback and hate as when I question the valuations of companies in a VC's portfolio. And that is they attack your character. They don't want to make a good faith argument back and forth. It's no, the whole world depends on whether or not open AI has a successful IPO. No, it doesn't. And also, There is a positive to all this capex. Thank God, it's a feature, not a bug, that America is willing to get out well ahead of its skis on a regular basis, and that shareholders are willing to incur these types of drawdowns because we like risk, and we're willing to take these risks, and most nations aren't willing to take these risks, and we will benefit from this capex. It may, I believe, cause some volatility. The market might be a drawdown. I think a lot of investors, in my view, are likely to lose a lot of at least paper gains in the next 12 to 24 months. The cat-backs that went into railroads was well ahead of where it should have been and cost shareholders a lot of money. We have all benefited from that cat-backs. The cat-backs on the internet, which got hysterical and irrational from an investor standpoint, we have benefited from. So even if the S&P has the kind of drawdown I think it's going to have, I would still argue there's real societal benefits from the fact that America is a risk aggressives.

culture, and we make these types of extraordinary cat-backs. You know, it's not the steel in the ground from global crossing or whatever, you know, these companies that imploded from these telco infrastructure in the late 90s, we're still registering, I think, benefit from those irrational investments. There's a lot to like here. But the notion that everything about the benefit or the progress or prosperity of humanity is all linked to whether the S&P goes up or down. I don't know. I've said to you for a long time, I think your generation would benefit from what I call, I don't know, a sane correction such that you have the same entry point into great companies that I had as a younger man. Because all the narrative and all the pumping and all the shaming online, if you don't say, oh, a 44 billion acquisition of X made sense, all of the shaming is one thing. And that is the current equity holders want this thing to go higher. And the narrative is, okay, we need rational people to say, you know, is it kind of the Michael Burry like implosion? Probably not. Is it the permable things go up forever? No, it's probably somewhere in between. And what I can stand is that the narrative is you're a good guy and a good citizen. If you're continuing to pump, But if you want to have a rational conversation about maybe shit's overvalued right now, there's something wrong with you. You're anti-American. Exactly. All we're trying to do is to get to the truth. Like, that's literally all I'm trying to do here.

What is the actual value of these companies? What is the actual fair value estimate for these big tech companies? Have we considered the fact that they're relying on two companies alone for their AI growth? That's where they're getting all of their growth right now. And have we considered the fact that those companies that they're relying on aren't making money and could easily go out of business if they can't keep raising billions of dollars at infinite and from the equity markets, which we're already starting to see. Look at anthropic going and borrowing 36 billion dollars from Blackstone this week. I mean, that's all we're trying to do. And as soon as you say that, I mean, you shouldn't be so offended by that.

by us doing that. It shouldn't be an offensive thing that we're trying to get an understanding of the truth. It's fine. If we're wrong, then we'll be proven wrong. But that's all we're trying to do here. We're trying to get an understanding of what actually is the value here. And it seems that

everyone's so sensitive because they have these stories in their heads and they get very upset if you decide to start poking any hole in that story because I guess they believe that This is their ticket out, but it's like gravity is going to come at some point. So I think we should be having a rational conversation about all of these on this point. I think it's worth asking the question like, you know, we're bringing up some of the AI anxiety right now. And the question that I keep asking myself is to what extent is that anxiety priced into the markets right now? And I think that the answer is that.

As of basically this week when the markets went way up, the anxiety is increasingly being ignored. So if we just look at some of the multiples, Microsoft is up to 27 times earnings, which I think at this point, it's pretty fully valued. I mean, you know that I bought the stock at 380. It's up 30% since then, so that's great. I mean, the benchmark that I keep trying to look at is how did these companies trade before the AI boom? And the answer is, last week Microsoft traded lower than its multiple pre-AI. This week it trades higher. We look at Met as an example. Met is a company that I think the anxiety is priced in. It's trading at 22 times earnings.

Pre-AI, it was trading at 31. So that's a company where I think investors are looking at the situation saying, we're not sure where the Aero, Aura, Y is going to come from, which I think is great. I think there's some rationality built into that stock right now. But Google, Amazon, they're getting very expensive at this point, especially Google. And it does seem that investors are looking for any reason whatsoever to just kind of shirk away the possibility that this whole AI thing won't work out. And so that's really what we have to keep an eye on. I don't think that we're in totally crazy town, but I do think that that it's, as you say, it's quite frothy. And that's something that we have to acknowledge. I don't know. I think we're firmly in crazy town. When I know friends of yours who are talented kids raising money for their companies at billion dollar valuations. And I get it. I was there, you know, in 1997 or 98, I raised money for a red envelope at 120 million valuation on revenues. I forget what it was, but and at the time I was happy to defend it and talk about why we were going to be worth a billion dollars and Credit Suisse first Boston was talking about taking as public You're never you don't feel you're in crazy town when you're in the asylum and benefiting

from it. I mean so But yeah, and on any reasonable metric any reasonable rep metrics this does Whatever you want to call it, this to me feels like, yeah, we've officially moved in and taken up residence in Crazy Town. It almost changes week to week. I think you're probably right. It's like this week we're in Crazy Town. Last week, it was a very different market. And this is part of the problem. The volatile is so insane week to week. The fact that Amazon reports its earnings and then it goes up 15% in a single day.

I mean, it's almost hard to gauge where actually we are at this point in time. But I think I will agree with you that in this week, on August 6th, Thursday, August 6th of 2026, which is when we're recording this, we are in crazy town. But I could see it swinging back tomorrow or the next week. It's very, very hard to gauge at this point. We'll be right back. And for even more Markets content, sign up for our newsletter at ProfgMarkets.com. Support for the show comes from SoFi. Education can be one of the most valuable investments you can make in yourself, but figuring out how to pay for it is a huge financial decision. The good news is, you have options at every stage of that journey. That's where SoFi comes in. Whether you're getting ready to head off to school, already enrolled, or looking for a better way to manage the student loans you already have, SoFi offers lending solutions that are designed to help you move forward with confidence.

If you're paying for school, SOFI private student loans can help cover up to 100% of your school certified costs, including tuition, books, housing, and more. You can check your rate online in minutes, and there's no fees required, including origination or laid fees. And if you already have student loans, refinancing with SOFI could save you thousands in interest, reduce your monthly payment, and help you pay down your loans sooner. You can also consolidate multiple loans into one simple monthly payment, and checking your rate just takes a few minutes online. Head to sofai.com slash profche student to explore your options and get started today. SoFi student loans are originated by SoFi Bank and a member FDIC. Additional terms and conditions apply. NML S696891. Please borrow responsibly.

Support for the show comes from BCX, the public ticker for private tech. For generations, American companies have moved the world forward through their ingenuity and determination. And for generations, everyday

Americans could be a part of that journey through perhaps the greatest innovation of all, the US stock market. It didn't matter whether you were a factory worker in Detroit or a farmer in Omaha, anyone could own a piece of the great American companies. But now, that's changed.

Today, our most innovative companies are staying private rather than going public. The result is that everyday Americans are excluded from investing and getting left further behind while a select few reap all the benefits. Until now. Introducing VCX, the public ticker for private tech, now available wherever you buy stocks. VCX, by Funrise, gives everyone the opportunity to invest in the next generation of innovation, including the companies leading the AI revolution, space exploration, defense tech, and more. Visit GetVCX.com for more info. That's GetVCX.com. Carefully consider the investment material before investing, including objectives, risks, charges, and expenses. This and other information can be found in the fund's prospectus at GetVCX.com. This is a paid sponsorship. Hi, everybody. It's Megan Rapinoe. I've been thinking a lot about this one question I've been asked over and over. A question about the choices I've made, the colors of my hair, the things in the world I've spoken about and the things that I haven't. I've heard this question asked so many different ways, but it always came down to, why are you like this? And as you know, there's no simple answer because people are not simple. We're messy and complicated and contradictory and layered. So on my new show, I'm sitting down with the ultimate disruptors.

the athletes, the artists, the activists, and the architects of our culture who looked at the way things were and asked, why do we do it like this? And can we do it differently? My hope is to give us a little more space to that question and to the person on the other side of the mic, not to tell us their answer or read from their script, but to take us on their journey. Check out my new show, Why Are You Like This on YouTube or listen in your favorite podcast app. New episodes drop every Thursday. We're back with Proxy Markets.

Last week marked SpaceX's first post-IPO lockup expiration, giving employees and early investors their first opportunity to sell shares since the company went public. In total, more than 911 million insider shares became

eligible to trade, more than doubling the free float. The stock was relatively stable following the expiration. That came just days after SpaceX reported its first earnings as a public company. On the surface, the results looked impressive. Revenue surged 92%. percent year over year, but investors weren't satisfied and the stock fell 8% after the report. At the time of this recording, the stock is trading around 109. It's down 52% from its all-time high. So I'm going to take my victory lap right now. This was my prediction before the IPO. As soon as it hits the market, SpaceX stock will immediately explode 25%. However, my other prediction is that within six months, probably sooner, SpaceX stock will be cut in half. Why? Because the valuation makes no sense whatsoever. It has indeed been cut in half, 52% down since it's high of 225 per share. We'll get into the earnings as well, but maybe Scott, your initial reactions to this stock price movement. It's a good business.

the rocket business, Starlink, or the product on top of the rocket business, Starlink revenue was up 66% to 4.3 billion. That's double what Palantir has quarterly revenue as subscriber growth double to 12 million. But the problem is great businesses that are overvalued with this thick layer of this enormous bet that may or may not be paying off. AI CapEx was up 550% to 18 billion and one quarter. So SpaceX is now spending more on CapEx and Oracle and more than Exxon for a unit that is unproven right now diluting a generally strong satellite business. And then there's just the bottom line is the valuation is just still insane. If you didn't know this company had been cut in the half, you wouldn't think it's undervalued or you would think it's overvalued. It's still ridiculous right now. In addition, I think the most then most negative forward-looking indicators is in addition to just the valuation is kind of a point around the fiduciary here and that is you have the nominal CEO of three public companies and he's tweeting 20 times a day. So attention is a key resource here for a CEO running three companies and he's not allocating it correctly.

So I thought my prediction was there'd be a tiny bit of a short squeeze because I thought the revenues, typically when you take a company public, when I've been on the board of companies, we go public, we know what the first quarter earnings are going to be and we don't take the company public unless we know the first quarter earnings report is going to be really strong.

This was a strong earnings report, but A strong earnings report for a company that's trading at a regular value weight. The market is looking for any reason to take this company down. And also, I think existing shareholders that have been in this thing for any distance of time are looking for any opportunity to sell. Because they've probably, to Elon Musk's credit, registered enormous gains. And they're like, okay, even though the stock's been cut in half, I might be up 10 or 20x.

Boy, am I gonna hate it if this company is at 12 bucks in six months, which it could be. If this stock was trading at 20, and you didn't know it had been at 1.210, and you did any sort of reasonable analysis looking at the sectors it competes in with the most successful companies in that sector trade at, it wouldn't be cheap at 20 bucks a share. So any opportunity to sell, I would argue people are doing the math here and going, yeah. And what you will see, I think the only thing on the demand side will people who anchored off that 230 and go, oh, it's a good entry point. Where are stock traded below? And this is one of my flaws as an investor. I always think of, okay, if, you know, I'm thinking about buying shares and snap. I think snap is dramatically overvalued. And I think at some point, Evan has to wake up from this.

this decade-long hallucination where he's wasted three and a half billion dollars to try and prove he's Steve Jobs, he's not, he's Mark Zuckerberg. And it's a great core business. It's the easiest five or 10x I see in the marketplace. If we can just convince this one guy to either spin the hardware unit or reduce the amount of money he's taking into the street and burning it. But you have to look at, I think, at underlying fundamentals and valuations and say what is the asymmetric risk to the upside or the asymmetric risk to the downside? I don't see, and again, this is a mean stock. I don't see any reasonable justification for how this company again goes back to being worth 120 times revenues. I just don't see how you thoughtfully find demand from different shareholders to do that unless Elon again pulls a rabbit out of the hat and starts talking about I don't know. Space data centers in space and why it works. He tried in that earnings. He tried to pull many rabbits out of the hat. I think what we learned is that people are now calling bullshit on him. Let me just tell you some of the things he said. He said that they're going to build data centers on the moon.

It's not just orbital data centers. Now it's lunar data centers. He said that those moon-based data centers are going to be serviced by humanoid robots.

And he also said that their factories will allow humanity to, quote, scale to 1,000 times the economy of Earth in terms of intelligence launched to space, but probably maybe even a million times. So he's trying to do what you're saying. And it is the only way that they can get that stock back up to where it was in the few days after it went public is they basically just need to pull the wool over people's eyes and wave a magic wand and start talking about data centers and space and interstellar travel, all of the bullshit that we've gotten so used to coming out of him. But I think people are now getting sick of it because it's not compelling anymore. And as you say, he's spending half his time on Twitter. He's spending half his time tweeting about wokeness or about.

Things happening in minnesota god knows what he's talking about he's the CEO of two companies at the same time tesla and space x i guess he's also the CEO of xai now i guess he's also the CEO of of of x formerly known as twitter because remember linda yakarino left they haven't even found a replacement and and that's in addition to all of the bullshit that he was getting up to in washington which he now admits was a mistake he says he got carried away with the politics i mean this guy's brain. has genuinely rotted. He's totally lost his marbles, and we see it in the interviews. And I think we're finally reaching a point where investors are at least beginning to recognize that. They're hearing the things that come out of his mouth, and they don't sound like some crazy genius who understands things about the future. They sound just like a crazy person who's lost his grip on reality and honestly lost his grip on his sense of self. I think we're seeing that in the prices.

Seeing it in Tesla too, it's down 30% year to date. That's the Elon premium dying. I think that's what's happening. I wish I'd acted on this like anyone, and I still think a basket of shorts around AI and AI just in companies is probably a decent way to hedge right now. But the musk meme, every meme stock eventually just becomes a stock. And it's like my son gave me this stat that I thought was so interesting. He said that No one is ever able to

stay airborne for longer than a second. Even Michael Jordan, it's like, it's weird. They can get to 0.95, 0.97, maybe even 0.98, but it seems like the one second barrier, ironically, everyone eventually gravity wins. Gravity is undefeated. And I still believe in the stock market over the medium and the long-term, gravity is undefeated. And eventually companies trade at the high or the low end of their sector in the high or the low end of market.

you know, market valuations, that will eventually happen to this company. It's happening now. Tesla is an automobile company that wraps steel around, you know, around an axle. It's a great company. It should trade at the top of the automobile range, which means its stock has another 70 or 80% to fall. SpaceX is an amazing business. It's a launch business that has a near monopoly, great. It'll grow, you know, but it's growing 24%. or was growing 24%. Summa doubles. There's no way to justify the valuation. It's basically Comcast in space with incredible launch capabilities, but gravity always wins. Well, they're not even a space company anymore. They don't even want to be a space company. They're an AI company, even if the space business is doing well, even if the connectivity business, which by the way is crushing and you and I were bullish on ages ago on Starlink, which we were excited about. I mean, I don't know if you remember, When we started hearing about SpaceX going public, we were excited about this company, and it was a moment, it was a refreshing moment where we're like, we actually like this thing. This thing actually makes sense. And then they had to just stuff all the bullshit around it, specifically the AI. And now we're seeing that in the earnings, which I also want to get into.

He's using the excitement and his ability to engineer what is one of the most overvalued IPOs in history at this size, if not the most overvalued given its size, to fund his vision for AI. And he might be right, the guy's a visionary, but even if he is right, you're buying essentially an AI company at a multiple to the AI companies that seem to be more successful than his company right now. I mean, if you look at... What are the multiples on revenues of open AI and Anthropic based on the most recent rounds of valuation? What are they somewhere between 10 and 20 times revenues? But he's saying invest in my my my Comcast and Space Company. It's really a bad AI that's really a laggard in the AI business. That's where I'm

spending all the money. That's what this valuation is dependent upon. And it's a it's a horrible investment compared to the other.

players in the AI space with respect to valuation. So at some point, almost every stock is a goodbye, regardless of the business it's in. And at some point, every stock is a bad buy, regardless of how strong the underlying business is at the valuation. This is a business. This is a failed, in my view, I won't say failed, a mediocre or meddling AI company cosplaying a space exploration, all these big words, rocket, meme stock. And I think people are, like you said, are calling bullshit. And most of the shareholders are thinking, I'm going to clock my 10x gain versus a 3x gain in 12 months and are getting out and selling. I can't even imagine the amount of selling pressure that's going to happen here as these unlocked. And also, all of the All of the additional incremental lockups he put in place indicate that he doesn't believe the market can support that the current price can support the natural selling pressure if shareholders were able to sell these shares and make their own decisions. So he's made it easy to buy, but he's...

put in place friction around selling. What does that tell you about his confidence in the current valuation? I just want to go back to some of the numbers you brought up in the earnings, because I think at first this seemed like a pretty good quarter. Their revenue grew 92%, which was better than expected. Their operating losses narrowed to around 143 million in losses versus last quarter where it was like 2 billion. It looked good at first, but the key number that people forgot about or didn't acknowledge, and then suddenly acknowledged when they saw it was the CapEx, which was 10 billion last quarter, and this quarter it was 18.5 billion. And almost all of that was AI. So essentially what we're seeing here is for every dollar that SpaceX is generating in revenue, they're spending 2.35.

on capital expenditures. And so if they were to continue spending money at the pace that we're seeing in terms of their capital expenditures, they will burn through the entire 86 billion that they raised from their IPO in about 16 months. So they're running out of money very, very quickly here. And so whenever we look at the operating expenditures for a hyperscaler, and I think that's what we got to start calling SpaceX at this point, anyone who's building a data center and whose story about their AI growth comes from

building data centers and selling compute, operating income or operating losses don't matter. all you need to look at is the capital expenditures, because that is where all of the money is going. They're buying chips. They're buying big, long-term capital-intensive assets in order to build out these businesses. And when you look at that number, suddenly you realize, hold on, this thing doesn't work. At least it doesn't work right now. And it's kind of a pipe dream as to whether it'll work out in the future. By the way, the fact that they're going to burn through all of their IPO proceeds in like less than a year and a half. It tells you something about what they're going to have to do next, which is they're going to have to raise a shit ton more equity and more debt issuance too. They're going to have to sell tons more debt, which tells you why the banks are being still so sycophantic about this company because the banks know there's still huge deal-making fees that are in this company. They want to be first up to sell SpaceX is next follow-on offering or SpaceX is next debt round. I mean, they're going to have to raise so much more money. And I think that's why you saw some of these big banks actually raising their price targets despite a quarter that was quite frankly pretty miserable from a CapEx perspective. It was like how surprised I was when I found out I was colorblind. Literally, the news came out of the purple.

Just thought we needed a little dad humor there. Just thought we needed to break up your what was me, no one appreciates my thoughtful, bearish remarks, a little dad humor there. Ed, you got SpaceX, right? You're gonna even be proved more right. And like I said, what I was thinking about education, I've been thinking a lot about higher ed recently. And Bill Maher was saying that the problem with higher ed is, you guys are promoting an orthodoxy. And I'm like, that's not the problem. The problem is the homogenization of higher ed. And that is four out of five faculty members have said they don't think a conservative would fit into their faculty. And I've seen this firsthand. My department at NYU is just like, it's so woke, it's frightening.

And I'm like, this does the kids a disservice, because even if they decide to adopt progressive values, and there's evidence showing that as people learn more about history and science, they do tend to skew more progressive as they go more higher education, we're doing them a disservice. If one, we

don't give them the ability to have a thoughtful conversation around opposing viewpoints, and we start teaching them that having a different political viewpoint makes other people morally deficient. And the same thing's happening here in the markets. And that is people are trying to say that if you're not a bull on these AI and not pumping the portfolio of the VCs who are constantly on CNBC and the entire ecosystem that benefits from an inflated market and more trading and more volatility and up and away, that somehow you're morally deficient. No, we need to have a thoughtful conversation on both sides such that people learn are smarter and quite frankly.

protect themselves a little bit. And I wish I'd have more thoughtful conversations with people around Scott. You are a talented, hardworking person. It makes no sense that you're raising this kind of money for these companies which have little revenue. You should sell more and you should diversify and realize a lot of this success right now is not your fault and that things can change fast. And I mean, I was thinking about, I got invited, let's bring this back to me Ed. In 99, I got invited to Davos. I was like a rock star. I was invited to speak to the 40 largest, the CEOs of the 40 largest energy companies in the world. I was speaking to the CEOs of Saudi Aramco and Exxon and Shell. And they were asking me how to run a business. And I was all of 33. By 2001, the third year, I was invited back. I couldn't get him because people literally thought I was a criminal. Oh, you're one of those fraudsters from Silicon Valley.

that raised money and lost it all. And the reality is, it's just helpful to have a thoughtful conversation on both sides, both for the entrepreneur, for investors, for everyone just to have a rational conversation. You're not a bad person if you're a bull talking up your own stocks, fine. You're not a bad person if you think things have gotten way too frothy. But the thing I didn't, I really didn't appreciate. when I was your age and advice entrepreneurs listening, is market dynamics will always trump individual performance. And the mistake I made was thinking that if I just threw myself at something, be highly concentrated, it will work out. No, sometimes your success is in your fault and neither is your failure. And in 91, I wasn't as smart as I thought. And by 2001, I was as dumb as everyone else thought I was. But I think these conversations that are two-sided, if you will, or Both

sides get accurate representation are really important. And having said that, folks, there's only one side here. This shit's coming down. I'm sorry. This shit is coming down. Enjoy it while it lasts. And if you have shares in any of these companies and you...

you're sitting on a gain, I would do everything I could to lock in some of those gains and put it in really boring shit right now that is at least an arms distance away from the eye trade. But anyways, I'm contradicting myself. Well, just to your point though, I feel like Leopold Aschenbrenner and what happened with situational awareness is the perfect example. And this is what Michael Green was telling us when he was on the show. last week where it's like you shouldn't be giving 20 billion to a 24-year-old. That's not going to lead to a great place. And as you often said, if you tell a 24-year-old enough times that they are Jesus, they are inclined to believe you. And I mean, I wonder what it's done to his life that his fund collapsed in the matter of a week, because he did convince himself he bought the hype that a lot of the investors were trying to tell him And he went forex leverage on the hottest stocks in the market. And then what do you know? The whole thing comes crashing down. Like, I think it's a perfect example of the thing that you're describing where the pumpery actually turns out to be a negative for a lot of people. It actually does a lot of both financial damage and then also psychological damage long term.

because I mean, yeah, people now say, oh, Leopold Aschenbrand is a fraud. He's the sound bankman freed. He's Elizabeth Holmes. And it's like, he was just a kid who was managing money and people kept giving him money. And so he kept doing what he wanted to do. Leopold didn't do anything wrong. He might've been reckless. He might've been out over his skis. But if a 24 year old can raise 20 billion, hoping that the eye trade keeps going and he puts on massive leverage, No, the idiots here are the people who decided to invest in a fund that was 5x based on a 24 year old supposedly insight into the... I've met geniuses. They put their pants on one leg at the same time and they're subject to the same market volatility as the rest of us. Okay, how fucking smart you are. If the S&P's off 40% over the next month, I don't care how many roads, you know, whatever prizes you've earned, you're going to lose a lot of your shareholders' money. Let me tell you exactly how it feels. In 1999, about 24 of us were invited by a private

jet manufacturer to an airfield to look at jets because they said they were willing to take stock in private companies in exchange for planes. We all went to this massive airfield and we looked at different jets and all of us in our 30s.

We're going like, oh, I want that one. I want that one. And I did have enough quote-unquote awareness at that point to go, this shit won't last. I was self-aware enough to go that a bunch of 30 year old douchebags from Silicon Valley pointing at jets they want that that wasn't gonna last. But within 12 months, my accountant told me I had negative net worth and I should consider selling my house. And, That moment when I had that conversation, I remember exactly where I was. I was in the offices of profit. I remember thinking, I need to go home and have a conversation with my wife around the possibility of having to sell our house. And 12 months before that, I was telling her about the plane I was gonna, we were gonna buy. And I remember thinking, so let me tell you, let me tell you, I mean, new wife, building a future, she's working her ass off. She's working her ass off. You're starting to think about kids.

Oh, honey, we're buying a Challenger 300. Oh, wait, we may need to sell our house. So let me tell you, it sucks. I think his situation is a little bit different because my guess is he's made so much money that he's not gonna have to sell his house, that he's been able to clock enough fees unless he did something stupid, like leveraged his own portfolio. It's a lot of reputational risk and damage, but he'll be fine because he's clearly a very intelligent person and in our society, one of the wonderful things about America is we love to forgive. He'll have a scarlet letter on his chest for a while, but he'll be able to raise money. If Adam Newman can raise hundreds of millions of dollars to go buy apartments and call them flow and pretend it's something new or different than just buying apartments, which is a good business, that's one of the wonderful things about America is we love to give people a second chance.

and I hope he's not in the same financial position I was, but there's no but doubt about it. It absolutely fucks with you. Especially I think, I'm trying to think as a young man, in some ways it's easier for a young man because you have more time to recover. And I was a bit, I don't wanna, I was a bit

sociopath. And that is, I just wasn't that cognizant. I didn't care about Rift. I almost got kicked out of UCLA three times and it didn't bother me. If I'd been kicked out, it would have been really bad. It would have been, but I just kind of didn't care. It's like, from zero to 30, I did not have enough anxiety. I was sleepwalking through life. I wasn't worried about the ramifications of my actions or risk. I was just like, oh, I'm fine. I'm telling, everything will be fine. It'll work out. From 30 to 40, I had just the right amount of anxiety to be aware, take some precautions, start to think about diversifying. From 40 on, I have way too much fucking anxiety. All I can think about, my son is super responsible He doesn't drink and drive. He's super responsible. But I still find, I still create scenarios about the dangerous mean streets of Aspen for an 18 year old. And then I worry about the ridiculous scenarios that probably won't come to bear in our society. And I worry that we're gonna have a civil war between the red and the blue. I mean, my mind just goes fucking crazy places now. I don't know where I'm going with this other than a need for anti-depressants.

Ed, wrap us up here. It's helpful. It's helpful to know all of this. Yeah, let's get into our week ahead. I think we've uncovered all we need to uncover in the financial markets. So we'll see inflation data from the consumer price and producer price indices for July. We'll also see earnings from Rocket Lab, AST SpaceMobile, CoreWeave, and SuperMicroComputer, all of the very hot AI or space adjacent stocks. Scott, any predictions? I think the downdraft in SpaceX is basically forcing everyone to come to from this, I think it's Narcan or I don't know what the term is, whatever they do to bring you back to consciousness. I think that SpaceX is having over the last 30 days is forcing a lot of people. This isn't the canary in the coal mine.

This is the blue whale in the coal mine screaming. And there's just no ignoring what is happening to SpaceX and forcing people to get out pencils, not, you know, not fairy dust and magic wands and actually look at these companies through evaluation lens and something regarding what would be a reasonable valuation for these long-winded way of saying, I just, I think SpaceX's march down is just beginning. The declining tide is going to suppress all boats here. I have a very similar prediction. First, I'm going to take a quick victory lap because last week my prediction was that we had hit the bottom for Metta. It immediately rebounded about 10%. So we'll see

if it holds, but I actually, I think that Metta is one of the only big tech stocks right now that is actually still relatively undervalued, because I think so much fear and anxiety is priced into that with good reason. But I think that we hit the bottom seems like we did. My prediction for this week, same as you, I think there is so much selling pressure coming down the pipeline for SpaceX. I think this thing falls another 20 to 30% by the end of the year. This episode was produced by Claire Miller and Allison Weiss and engineered by Benjamin Spencer. Our video editor is Jorge Carti. Our research team is Dachelon, Kristen O'Donoghue and Mia Silverio.

Jake McPherson is our social producer, Drew Burroughs is our technical director, and Catherine Dillon is our executive producer. Thank you for listening to ProfG Markets from ProfG Media. If you liked what you heard, give us a follow and tune in tomorrow for a fresh take on the markets.